Startups and Entrepreneurship in India

Introduction to Entrepreneurship and Startups

An entrepreneur is a person who identifies a need or opportunity, starts a new business, organises the resources and takes the financial risk in the hope of profit. A startup is a young company, usually built on an innovative idea or technology, designed to grow rapidly and solve a problem at scale. India has the third-largest startup ecosystem in the world, after the United States and China, with more than a hundred thousand startups recognised by the government, and startups have created lakhs of jobs. Famous Indian startups include Flipkart, Zomato, Swiggy, Ola, PhonePe, Razorpay, Zerodha, Freshworks and Zoho, with the last two based in Chennai. Entrepreneurship matters because it creates jobs, drives innovation, and helps in solving social problems.

What Is a Unicorn Startup?

A unicorn is a privately held startup company that has reached a valuation of one billion US dollars or more. The term was coined in 2013 by the venture capitalist Aileen Lee of Cowboy Ventures, who used the mythical animal to describe how rare such startups were. A company whose valuation reaches ten billion dollars is called a decacorn, and one of one hundred billion dollars a hectocorn. India has more than 100 unicorns, around 110 to 120, and is among the top three countries for unicorns. Examples of Indian unicorns include Flipkart, Paytm, Ola, Zerodha, PhonePe, Razorpay, Swiggy, Zomato (which is now listed), Byju's (which later faced serious financial troubles), Dream11, CRED and Freshworks, which was founded in Chennai by Girish Mathrubootham and listed on the NASDAQ in September 2021. Zoho, founded by Sridhar Vembu and based in Chennai, is a large software company that has been built without outside venture funding. The first Indian unicorn is considered to be InMobi, in 2011.

What Is Startup India?

Startup India is a flagship initiative of the Government of India, launched by Prime Minister Narendra Modi on 16 January 2016, to build a strong ecosystem for the growth of startups. Its Action Plan has a number of measures: simplified registration and self-certification of compliance with labour and environment laws; a Startup India Hub as a single contact point; tax exemption on profits for three consecutive years out of the first ten years for eligible startups; the Fund of Funds for Startups, with Rs. 10,000 crore, managed by SIDBI, which invests in venture funds; a fast-track patent examination with rebates in patent fees and a panel of facilitators; easier exit rules; credit guarantee schemes; and public procurement relaxations. An entity is recognised as a startup by the Department for Promotion of Industry and Internal Trade (DPIIT) if it is a private limited company, partnership or LLP, is less than ten years old and has an annual turnover of not more than Rs. 100 crore, and works on innovation. More than 1.5 lakh startups have been recognised by DPIIT, and 16 January is celebrated as National Startup Day. The Startup India Seed Fund Scheme supports early-stage ventures. Tamil Nadu has its own agency, StartupTN, set up under the Tamil Nadu Startup and Innovation Mission to support entrepreneurs.

What Are the Stages of Startup Funding?

Startups typically raise money in stages as they grow. The idea or pre-seed stage is funded by the founders' savings, friends and family, small grants or bootstrapping. The seed stage brings the first outside money, from angel investors, incubators, accelerators or seed funds, used to develop the product and test the market. Series A funding is raised from venture capital firms, when the startup has shown some traction, to build the team and scale up. Series B is used to expand rapidly, enter new markets and increase customers. Series C and later rounds (D, E) help in scaling up, acquiring other companies or preparing for an exit, often from large venture funds, private equity firms and sometimes strategic investors. The exit happens when the founders and investors sell their shares, through an Initial Public Offering (IPO), acquisition by another company or a merger. For example, the company Flipkart was acquired by Walmart in 2018 for around 16 billion dollars. Other forms of funding include crowdfunding, venture debt and government grants. At every stage, investors receive equity (part ownership) in exchange. Valuation is the estimated worth of the company, and dilution is the reduction in founders' shares as new investors come in.

Steps to Start a Startup

The usual steps include identifying a real problem, validating the idea with potential customers, building a minimum viable product (MVP), forming a team, choosing a legal structure such as a private limited company, registering and getting a PAN and GST registration as required, seeking recognition under Startup India, raising funds, and marketing. Incubators and accelerators, such as the IIT Madras Incubation Cell, which has produced many deep-tech startups like Agnikul, give mentorship and space. Chennai has an important startup ecosystem in SaaS (software as a service), deep tech, healthtech and manufacturing, with the Chennai Angels network, IIT Madras Research Park, TiE Chennai and the Tamil Nadu government supports.

Success and Failure

Most startups fail. Typical reasons include no market need, running out of cash, a weak team, competition and poor timing. Successful founders learn from failures, adapt quickly and listen to customers. Entrepreneurship requires resilience, creativity, leadership and financial discipline.

Challenges and Future

Challenges include funding slowdowns, regulations, talent and scaling up in a large country. India's opportunities include a young population, cheap internet, UPI and digital public infrastructure, and a growing focus on deep tech, AI, clean energy and space. The government's aim is to make India a startup nation.

Quick Facts

- A unicorn is a privately held startup valued at over one billion US dollars; the term was coined by Aileen Lee in 2013.
- Startup India was launched on 16 January 2016, and 16 January is National Startup Day.
- Funding stages are pre-seed, seed, Series A, B, C and later, followed by an exit such as an IPO or acquisition.
- Zoho and Freshworks are Chennai-based software success stories.
- DPIIT recognises startups that are under ten years old with turnover up to Rs. 100 crore.